directly to Mao's cult of personality, Deng introduced informal age limits for senior Party cadres and set a limit of two five-year terms for the country's top state position of President. The objective was to prevent a personality cult around a Party leader and to emphasize collective leadership instead. Deng gave respectability to the concept of a market economy in a socialist system. He declared that 'to get rich is glorious', thereby overturning a key communist principle – that of egalitarianism. The private sector was allowed to grow and flourish without direct interference from the Party. Under Jiang Zemin, businessmen and industrialists were allowed to join the CPC in 2001, thus gaining respectability in a communist state. The State-Owned Enterprises (SOEs), hitherto the mainstay of China's socialist economy, underwent drastic reform after China became a member of the WTO in 2001. Several loss-making firms were shut down, and others were corporatized and compelled to become viable or close down.

During the Cultural Revolution, the PLA had acquired a major political role once it was called upon to restore order across the country. It filled the vacuum left behind by a Party grievously weakened by the repeated purges unleashed by Mao Zedong during the Cultural Revolution. Using his immense influence in the PLA, Deng was able to persuade military officers to go back to their barracks and to focus attention on professionalism, training and modernization. The PLA was expected to emphasize professional skills rather than political rectitude. Over time, the PLA appears to have developed an organizational identity separate from the Party's. It is now known that in 1989, several senior PLA generals opposed the Party's decision to use the armed forces to suppress the pro-democracy movement in the capital.

In the years following the Tiananmen incident of 1989, there was a relative relaxation of ideological controls over art and literature. A relatively small but expanding civil society began to emerge in the country and, by Chinese standards, at least limited media freedom was allowed. This did not last very long, and even before Xi Jinping took office the brief loosening of social and political controls was already coming to an end.